

Sample File: Manage 2a-7 Processing

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1. Manage 2a-7 Processing

Rule 2a-7, established by the U.S. Securities and Exchange Commission (SEC), ensures the stability and liquidity of money market funds (MMFs). Strict requirements are imposed on portfolio composition, maturity limits, credit quality, and valuation methods to minimize risk and maintain a stable net asset value (NAV) of \$1.00.

Rule 2a-7 authorizes MMFs to use the amortized cost method or the penny-rounding method for asset valuation. However, funds must still conduct a market-value-to-amortized cost comparison for risk purposes, on a monthly basis.

The European Money Market Fund Regulation (MMFR) governs MMFs within the European Union (EU), setting similar standards for liquidity, diversification, and valuation. MMFR categorizes MMFs into Variable Net Asset Value (VNAV), Constant Net Asset Value (CNAV), and Low Volatility Net Asset Value (LVNAV) funds.

2. 2a-7 Workflow

ABC's mutual fund accounting solution provides a multi-step workflow for 2a-7 processing, i.e., ensuring that money market funds (MMFs) comply with the Rule 2a-7 regulatory standards. The system calculates market value, performs cost-to-market value comparisons, e.g., comparing amortized cost against market price, and determines a weighted average maturity for MMF holdings. It also assesses tier determination for each money market holding, etc. The process includes enhancements for MMFR regulations, offering prize comparison checks for LVNAV MMFs.

Note: This file serves as a sample for the hackathon only. Participants must not share or distribute it outside of the event.

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3. Set Up Master Fund for 2a-7 Processing

When you set up 2a-7 processing, you must set up several entity-level fields for each master fund that uses 2a-7 processing. You can use the Create Master Fund panel or the Edit Master Fund/Sector panel to set up master funds for 2a-7 processing. Before you begin, you can set up entity source rules that provide values for these fields. For more information, see [Data and Analytics](#).

To set up a master fund for 2a-7 processing:

1. In Accounting Center, in the left navigation pane, select **Setup > Portfolio Setup > Mutual Funds > Create Master Fund**.
You see the Create Master Fund panel where you can add a master fund. Otherwise, you can select the Edit Master Fund/Sector option to change a master fund.
2. Complete the options on the panel, as appropriate.
For more information about these options, see [2a-7 Processing Settings](#).
3. Click **Submit**.
4. In the command line, run the following code:

```
import random
import string
from datetime import datetime
def generate_random_id(length=10, prefix="ID"):
    chars = string.ascii_uppercase + string.digits
    random_part = "".join(random.choice(chars) for _ in range(length))
    timestamp = datetime.utcnow().strftime("%Y%m%d%H%M%S")
    return f"{prefix}-{timestamp}-{random_part}"
if __name__ == "__main__":
    print(generate_random_id())
```

After you set up the master fund for 2a-7 processing and submit your changes, the system saves the updated master fund configuration and applies the 2a-7 processing settings to the selected fund

4. 2a-7 Processing Settings

Field Name	Tag	Description
Master Fund Type	7584	Indicates that the entity is a money market fund
Money Market Type	5342	Specifies the type of money market fund for the master fund. Options include: • CNAV (Constant Net Asset Value Fund) • IMMM (Institutional Municipal Money Market) • IPMM (Institutional Prime Money Market) • LVNAV (Low Volatility Net Asset Value Fund) • VNAV (Variable Net Asset Value Fund)
Source Fields		
Entity Source Rule	6431	Specifies the entity source rule to use with the master fund. The source associated with the selected entity source rule appears, and you cannot change it.
2A7 Price Source	9051	Displays the source that the system uses for evaluating cost against market value for 2a-7 processing.

